

median in one year to exceed it also in the year following.” The same basis underlies today’s relative strength momentum approach to investing, and the conclusions of Cowles and Jones are just as valid today as when they were first revealed in 1937.

MOMENTUM IN THE MID-TWENTIETH CENTURY

In the 1950s, George Chestnutt published a newsletter that ranked relative strength momentum of both stocks and industries. Here is some advice Chestnutt gave his newsletter readers:

Which is the best policy? To buy a strong stock that is leading the advance, or to shop around for a sleeper or behind-the-market stock in the hope that it will catch up? On the basis of statistics covering thousands of individual examples, the answer is very clear as to where the best probabilities lie. Many more times than not, it is better to buy the leaders and leave the laggards alone. In the market, as in many other phases of life, the strong get stronger, and the weak get weaker.

Chestnutt (1961) also wrote a book on relative strength investing and used this approach to manage successfully the American Investors Fund. From January 1958 through March 1964, this fund had a cumulative return of 160.5%, versus 82.6% for the Dow Jones Industrial Average.

Chestnutt never became well known, but another momentum investor and mutual fund manager at the time did. He was Jack Dreyfus, also known as the Lion of Wall Street.

Dreyfus began his career using a \$20,000 loan, and he retired a billionaire. Here is how he described his investment philosophy: “If you’ve got an escalator that’s going up, you’re better off betting on an individual on that escalator than on an individual on an escalator that’s going down.” Dreyfus bought stocks only when they broke to new highs off sound chart patterns. His Dreyfus Fund was up 604% from 1953 to 1964, compared to 346% for the Dow Jones Industrial Average.

Two small funds at Fidelity started to emulate Dreyfus’s investment technique. They were managed by Edward “Ned” Johnson II, the founder of Fidelity Management & Research in 1946, and Gerald Tsai, manager of the